

Module-2 : Technical Analysis

↳ Scan for opportunities based on the current trend / market preference.

↳ POV : buy/sell price
risk / reward
holding period

↳ NOT a quick and easy way to make profits

Expectations from TA :-

- ① short-term trades
- ② Entry / Exit points
- ③ small but consistent profits
- ④ few mins $\leftrightarrow$ few weeks holding period
- ⑤ for bad trades, cut the losses & move on

↳ can be applied on any asset class given it has time series data

↳ MACD : Moving Avg convergence Divergence

RSI : Relative Strength Index

① Markets discount everything:
all known & unknown info

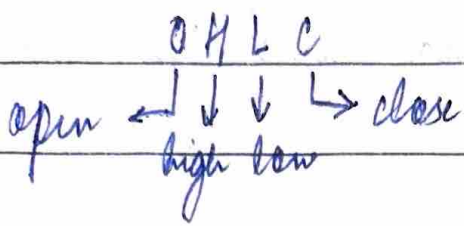
in the public domain is reflected in the latest stock price

3 core principles
(Dow's Theory)

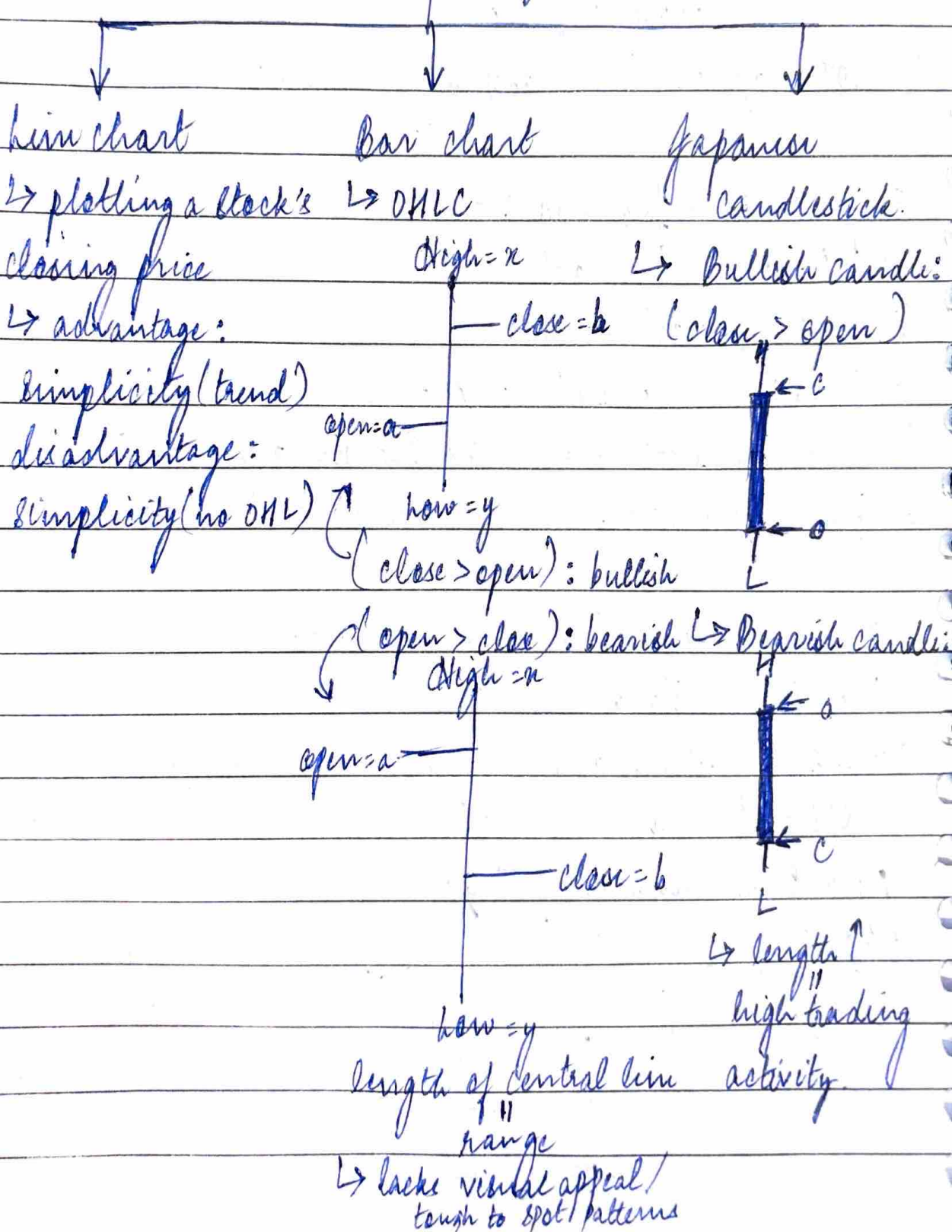
② Price moves in trend

③ the 'how' is more imp. than the 'why'.
used in the same way on any asset class.

④ History tends to repeat itself.
→ emotions are predictable



The chart types



Timeframes :

Monthly	Weekly	400	30 min	15 min	5 min
↓	↓	↓	↓	↓	↓
12/	52/	252/	~12/	~25/	~75/
year	year	year	day	day	day

↳ Noise should be separated from info.

Getting started w/ candlesticks:-

Assumption : History tends to repeat itself.

↳ when a set of factors that have played out in the past tends to repeat itself in the future, we expect the same outcome, provided same factors.

Candlestick patterns

Single candlestick pattern	Multiple candlestick pattern
↳ Marubozu → bullish	↳ Engulfing pattern → Bullish
↳ Doji → bearish	↳ Harami → Bearish
↳ Spinning tops	↳ Piercing pattern
↳ Paper umbrella → Hammer	↳ Dark cloud cover
↳ Hanging man	↳ Morning star
↳ Shooting star	↳ Evening "

Candlestick specific assumption :-

- 1) Buy strength & sell weakness
- 2) be flexible w/ patterns (quantify & verify)
- 3) look for a prior trend.

Single candlestick patterns :-

- ↳ formed by just one candle
- ↳ length of candle signifies the range.
 - short → subdued trading action
 - long → intense buy/sell activity

① Marubozu → "bald"

- ↳ rule 3 is violated ~~to keep on trends~~
- ↳ no upper / lower shadow

Bullish

→ buy

↳ low = open

High = close

↳ buying interest ↑

↳ risk taker → buys at 3:20
on same day
risk averse → buys next
day at 3:20

↳ S.L → low of stock

Bearish

↳ High = open

low = close

↳ selling pressure ↑

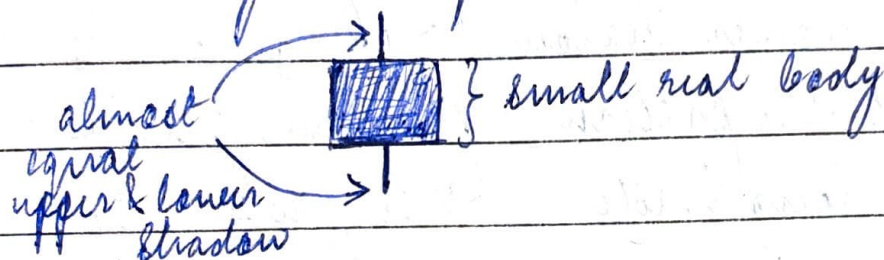
↳ risk taker → shorts at 3:20
on same day
risk averse → shorts at
3:20 next day

↳ S.L → high of stock

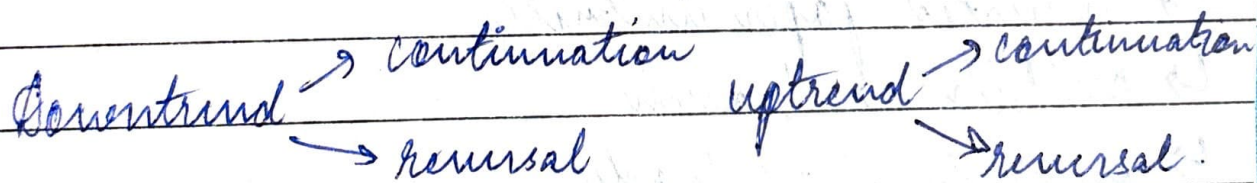
- * Abnormal candle lengths should not be traded
 - ↳ short: subdued trading activity [uncertain]
 - ↳ long: extreme activity [dup slop^{dis}]

② Spinning top:

- ↳ does not give the trader a trading signal w.r.t entry/exit point



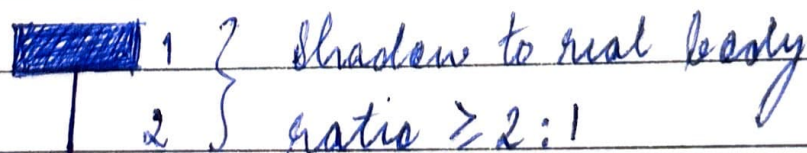
- ↳ only conveys indecisions as both bulls & bears were not able to influence the markets.



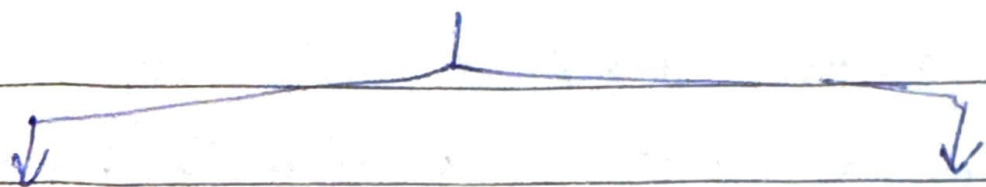
③ Dojis



④ Paper umbrella



- ↳ color of candle does not matter.



Hammer

- ↳ bullish
- ↳ appears at the bottom end of a downward rally.
- ↳ longer the lower shadow, more bullish the pattern
- ↳ suggests a long trade.

Hanging man

- ↳ bearish
- ↳ appears at the top end of an upward rally.
- ↳ longer the lower shadow, bearish the pattern
- ↳ suggests a short trade.

⑤ Shooting Star

- ↳ price action quite powerful
- ↳ inverted paper umbrella
- ↳ bullish → bearish
- ↳ suggests short trade.



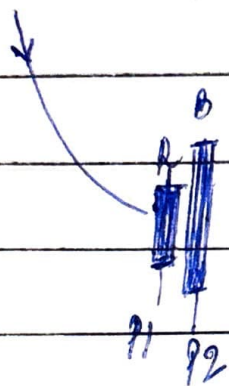
red preferred

Multiple candlestick patterns:

↳ 2 or 3 candlesticks ↳ risk-taker > risk-averse

① Engulfing pattern

Bullish



Bearish



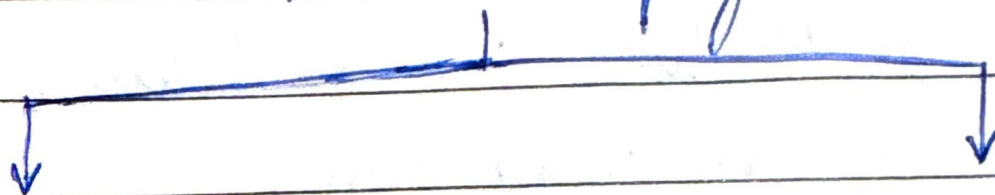
↳ A doji catalyzes either of these two engulfing patterns.

② Piercing pattern: similar to bullish engulfing pattern except that P2's blue candle ~~engulfs~~ engulfs at least 50% & below 100% of P1's red candle.

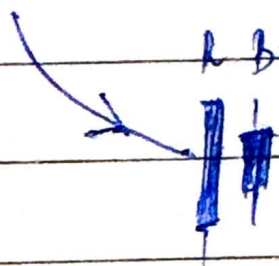
③ Dark cloud cover: similar to bearish engulfing pattern except that P2's red candle engulfs at least 50% & below 100% of P1's blue candle.

②

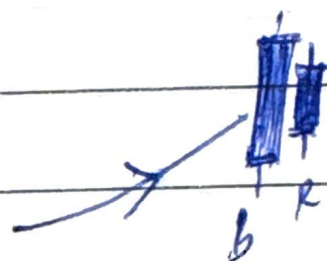
Harami → "pregnant"



Bullish

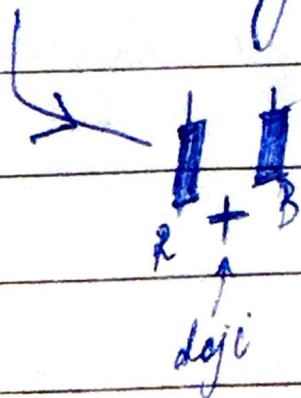


Bearish



→ Gap up / gap down

⑤ Morning star



Evening star

